PAPERBOY

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SpaceX earned more from renting out AI compute than from Starlink last quarter, posted its first operating profit as a public company, and told shareholders its board and Tesla's have each put a merger on a committee agenda.

AI

Washington orders DeepSeek stripped out of federal civilian systems

WHAT HAPPENED

A Homeland Security order published in the Federal Register on 20 October (91 FR 66346) bars information technology "developed by Hangzhou DeepSeek Artificial Intelligence Co., Ltd" and its affiliates from federal civilian procurement, and directs the "removal of all DeepSeek and DeepSeek-affiliate products" already installed. Also covered: "third-party products and services developed using DeepSeek implementations," which catches any vendor that built on the Chinese lab's open weights. It sets out no effective date, no compliance deadline and no exception process, though the signed order appears only as unsearchable appendix images, so one may exist out of sight. China's foreign ministry accused Washington of "overstretching the concept of national security."

WHAT IT MEANS

The downstream clause is the sharp end. Banning a model is a procurement memo; banning everything built on its weights obliges every federal software vendor to audit its own stack, and DeepSeek weights sit in a great many stacks. With no deadline published, agencies will over-comply.

WATCH NEXT

Whether a deadline surfaces on docket DHS-2026-0628, and whether any vendor gets named.

Google open-sources TorchTPU, and the CUDA moat is attacked at the framework

WHAT HAPPENED

At PyTorch Conference 2026 on 20 October Google released TorchTPU, a native PyTorch stack for its TPUs built with Meta's PyTorch team. Amazon shipped its equivalent, TorchNeuron for Trainium, at the same conference, the same day. Google's performance figures are its own: "up to 52% Model Flops Utilization" on Qwen 3 8B with "near-linear scaling and stability across up to 8,192 Ironwood TPUs". Meta's director of PyTorch engineering, Jana van Greunen: "We cannot be constrained by a single hardware architecture." No licence is named.

WHAT IT MEANS

Nvidia's lock-in was never really the silicon; it is fifteen years of CUDA kernels under every framework. Two hyperscalers shipping drop-in PyTorch backends in one afternoon is an attempt to turn the switching cost into a config change. These are vendor benchmarks, so treat the throughput numbers as marketing until an outsider runs them.

WATCH NEXT

Whether the upstream PyTorch patches land, and the first independent Trainium or Ironwood benchmark.

OpenAI buys Orchestra Bio and folds it into Rosalind

WHAT HAPPENED

OpenAI said on 20 October that it "has acquired" Orchestra Bio, which it describes as "a platform where people and AI agents work together to advance drug programs" — agents that track studies and campaigns rather than design molecules. The team and technology go into Rosalind, OpenAI's life-sciences model set, and Rosalind Workbench. Price and structure were not disclosed and the announcement carries no named quote. TechCrunch, not OpenAI, reports that Orchestra had raised around $20m from Andreessen Horowitz, Atria and 8VC.

WHAT IT MEANS

This is operations software, not discovery: trial scheduling and programme tracking. The read is that OpenAI thinks the way into pharma is the project-management layer, rather than the chemistry.

WATCH NEXT

Whether Rosalind Workbench gets priced, and whether a pharma customer says anything on the record.

SEMICONDUCTORS

Seoul takes it all back, plus some

WHAT HAPPENED

The KOSPI closed Wednesday at 5,735.66, up 182.92 points or 3.29%, more than reversing Tuesday's 3.73% fall. Samsung Electronics closed up 5.67% at 223,500 won and SK hynix up 5.81% at 1.29m won — the two names that sat out Monday's rally and then led Tuesday's rout. All of this is Yonhap's reporting; we found no independent second source.

WHAT IT MEANS

Minus 3.73% then plus 3.29% in two sessions, on no new information about either company. That is positioning, not news — the market is trading who funds the buildout, not who sells the chips.

WATCH NEXT

Bank of Korea decides Thursday 22 October, expected to hold at 3%. SK hynix reports 28 October, Samsung 29 October.

Samsung and SK hynix are quietly upgrading their Chinese memory fabs

WHAT HAPPENED

Reuters reported Wednesday, citing four people familiar, that Samsung is converting its Xi'an plant — about 40% of its global NAND output, currently around 200 layers — to 286-layer V9 NAND under an internal project called Monami, targeting 5,000 wafers a month in December 2026 and 40,000 a month by December 2027. SK hynix is said to be taking Dalian from 192 layers to 240 or more. Both companies went on the record. Samsung said the work meets "growing demand from global customers, including those in the US" and that it "is not expanding production capacity"; SK hynix said it has been installing equipment in consultation with the US government. The Bureau of Industry and Security would not say what it has licensed. Per Omdia, YMTC took 38.5% of China's NAND market in the second quarter, up from 28% in 2025, passing Samsung's 33.5%.

WHAT IT MEANS

BIS said in 2025 it would license operating these fabs but not upgrades or capacity. Two Korean firms are upgrading anyway, openly, and the agency will not say whether that is permitted. The forcing function is YMTC, taking the Chinese market whether or not Washington lets anyone compete. The layer counts rest on one wire's anonymous sources; the company statements do not.

WATCH NEXT

Whether BIS says anything on licences, and SK hynix's 28 October call.

Amazon takes a warrant on 3M’s data-centre glass

WHAT HAPPENED

3M disclosed in Tuesday’s third-quarter release an “expanded strategic commercial relationship with Amazon to deploy and scale 3M’s optical connectivity and other Data Center related products,” and said it has issued Amazon a warrant to buy up to 3.2m 3M shares “based upon the achievement of” $6bn in cumulative sales of those products over the next seven years. The $6bn is the warrant’s threshold, not committed Amazon spend. 3M raised full-year adjusted earnings guidance to $9.10 to $9.15 a share, and closed up 5.78% at $171.37.

WHAT IT MEANS

Yesterday’s item here was a forecast 180m fibre-kilometre shortfall running to 2028. Today a hyperscaler is securing optical supply with equity upside rather than price. That is what a buyer does when the thing it fears is allocation, not cost.

WATCH NEXT

Whether another optical supplier discloses a similar structure, and whether a hyperscaler capex guide names interconnect.

BUSINESS

SpaceX’s AI business just passed Starlink, and a Tesla merger is on a committee agenda

WHAT HAPPENED

SpaceX’s third-quarter filing shows revenue of $14.58bn, up 161%, and its first operating profit since June’s listing: $2.79bn against a $273m loss a year ago, net income $4.40bn. The Super Intelligence segment — selling compute — booked $7.56bn, up 830%, overtaking Starlink’s $5.25bn. Capital spending was $19.6bn in the quarter, $48.1bn over nine months. On the earnings call, per TechCrunch, Musk said the SpaceX and Tesla boards have each formed special committees of independent directors to examine a merger at shareholders’ request, with him excluded: “Because I’m a conflicted party, I can’t actually be in the discussions of the special committees.” Neither company has filed anything describing it. Shares closed at $147.79, and rose about 8.5% in Wednesday pre-market trading.

WHAT IT MEANS

A rocket company now earns more from renting out GPUs than from satellite broadband. The merger talk follows from it: if SpaceX is a compute business and Tesla is a robotics business, one balance sheet is easier to argue than a launch provider plus a carmaker. Musk controls over half of SpaceX’s votes; Tesla would need 50% of all shareholders, not just those voting.

WATCH NEXT

Any 8-K naming the committee members, and Tesla’s own results after Wednesday’s close.

Netflix is making money and missing its advertising number

WHAT HAPPENED

Third-quarter revenue was $12.9bn, up 12%, with operating margin at 34.6% against 28.2% a year ago, diluted EPS $0.87. The damage is in the guidance. Netflix now expects 2026 advertising revenue of "~$2.7B vs. approximately $3B previously," blaming "slightly slower than expected rollout of some ad product capabilities," and cut full-year free cash flow to about $12.0bn from $12.5bn, mostly a fourth-quarter property closing. Shares closed at $68.69, down 1.66%, and fell about 6% pre-market Wednesday.

WHAT IT MEANS

A $300m shortfall on a $2.7bn line is a tenth of the advertising business, and advertising is now the growth story. Blaming product rollout rather than demand is the more comfortable of the two explanations available, and also the one that implies it recurs.

WATCH NEXT

Whether the ad number moves again at the Q4 print, and the restructuring charge.

Salesforce buys Braze for $5.66bn

WHAT HAPPENED

Salesforce signed a definitive agreement on 20 October to acquire the marketing-engagement company Braze at $47.50 a share in cash for its Class A stock, an enterprise value of about $5.66bn, expected to close in Salesforce's fiscal 2028 subject to Braze shareholder and regulatory approval. No premium is stated. Separately, Tuesday's US close had the Dow up 1% at 52,495.88, the S and P 500 up 0.3% at 7,712.57 and the Nasdaq composite flat at 26,424.82.

WHAT IT MEANS

Braze was the independent alternative to Salesforce Marketing Cloud, which is the point: this removes a competitor and buys the messaging layer agents will need to act through. A close pushed into fiscal 2028 is an unusually long runway, which usually means the parties expect a regulatory look.

WATCH NEXT

Braze's merger proxy for the break fee, and whether a second bidder appears.

STARTUPS

Reliable Robotics adds $115m, upsizing its Series D to $275m

WHAT HAPPENED

The Mountain View autonomous-aircraft company raised $115m in new capital, upsizing a previously announced $160m Series D to $275m and taking total funding to $380m. Nimble Partners led, with Silicon Valley Bank, RockCreek and six others participating. FinSMEs puts the valuation "over $1 billion," which would make it a new unicorn; no post-money figure is disclosed and there is no company release, so treat the valuation as unconfirmed. Its systems do gate-to-gate automation — taxi, take-off, en-route management and landing — on already-certified airframes, aimed at commercial and defence operators.

WHAT IT MEANS

Retrofitting certified aircraft rather than building a new one is the cheaper route through the FAA, and defence autonomy money is the reason a hardware company this capital-hungry can upsize a round mid-flight.

WATCH NEXT

An FAA certification milestone, and whether a company release confirms the valuation.

AuxoAI takes $20.7m for forward-deployed enterprise AI

WHAT HAPPENED

San Francisco-based AuxoAI closed a $20.7m Series A led by NTTVC, with angels including ServiceNow president Amit Zavery and Norwest partner emeritus George Still Jr. The company pairs a forward-deployed team of strategists and engineers with Damia, a proprietary workbench for enterprise AI deployments, and says it serves more than 40 clients in manufacturing, consumer goods, healthcare and telecom. Single-outlet; no company release found.

WHAT IT MEANS

An operator-heavy cap table rather than a fund-heavy one, for a business that is consultancy with software attached. The forward-deployed model is in fashion because enterprises keep discovering that the model is the easy part and the integration is the bill.

WATCH NEXT

Whether a named enterprise customer goes on the record.

Firefly raises $20m for “physical AI” safety systems

WHAT HAPPENED

New York-based Firefly — not the aerospace company of the same name — raised a $20m Series A led by Definition Capital, with BoxGroup and Susa Ventures participating. It describes itself as “a physical AI platform for safety,” combining its own hardware and software with equipment a site already has, such as cameras and radios, into one system that flags incidents, automates routine operations and coordinates live response. Proceeds fund hiring and expansion into education, healthcare and enterprise. Single-outlet, no company release. Thin day generally: every round here comes from FinSMEs, and Crunchbase publishes nothing before mid-afternoon.

WHAT IT MEANS

The interesting bet is the integration layer rather than new sensors — schools and hospitals already own the cameras and nobody is watching them. That is a procurement story, which means slow deals and sticky ones.

WATCH NEXT

A school-district or health-system contract, which is where this either works or does not.

US

Republicans are quietly writing down the redistricting payoff to almost nothing

WHAT HAPPENED

House Republicans drew new maps expecting a large gain and are now, per Axios, privately contemplating a net of one seat nationwide. Republicans have spent $133m on television across the 15 redrawn districts, per AdImpact, against the 16 friendly seats they thought they had drawn in early summer. Strategists now expect seven to twelve of the fifteen; the pessimistic case is Republicans plus seven, Democrats plus six. Courts threw out the Missouri map and forced Utah to redraw; California's new map adds four safe Democratic seats. Rep. Tom Emmer, Republican of Minnesota: "Texas, I'd be surprised if we got all five." The net-one figure is anonymous strategist sentiment, not a model.

WHAT IT MEANS

Mid-decade redistricting was the party's hedge against a bad environment. If it nets one seat after $133m, the hedge failed, partly legal, partly because the maps assumed Latino voters in south Texas and Florida would keep moving right.

WATCH NEXT

Texas's 28th and 34th, where the House Republican super PAC has pulled out of one and spent $18m in the other.

Seven in ten Americans do not think Trump would accept losing

WHAT HAPPENED

A second tranche from the ABC News, Washington Post and Ipsos survey — Ipsos KnowledgePanel, fielded 9 to 13 October, 2,545 adults including 2,032 registered and likely voters, margin of error two points — finds 70% of adults not confident Trump would accept the result if Republicans lose, half of them not at all confident, against 28% who are. The congressional ballot among likely voters is Democrats 52, Republicans 44. For scale, a December 2023 Washington Post and University of Maryland poll found 71% not confident about 2024 — the distrust is flat, not new.

WHAT IT MEANS

An eight-point likely-voter lead is the number that matters for seats, and it sits four points from the other Ipsos poll released this week. The acceptance number is better read as a stable feature of the electorate than as a new alarm.

WATCH NEXT

Whether the next release narrows the registered-to-likely gap, and the 3 November result.

Early voting passes 12.6m, and a correction to our own number

WHAT HAPPENED

As of 3.27pm Eastern on 20 October, 12,618,084 early votes had been reported nationally, per the University of Florida Election Lab tracker as carried by Axios. Georgia leads on share, past a million ballots, equal to 25.9% of its entire 2022 turnout; Virginia is at 770,916 and 25.5%. And a correction: we printed North Carolina running 48% ahead of 2022 on Monday. The supported figure is more than 37% ahead of the same point in 2022 as of 18 October, with registered Democrats at 240,206 against Republicans at 102,845.

WHAT IT MEANS

The state shares are denominated against 2022 total turnout and the North Carolina figure is a same-point comparison. They are different measures, which is how our 48% got loose.

WATCH NEXT

Whether the Democratic skew in North Carolina’s early vote survives the final weekend, which is when Republicans historically vote.

WORLD POLITICS

Six days out, Netanyahu is trying to clear two small parties off the ballot

WHAT HAPPENED

With Israel voting on 27 October and 37 parties on the ballot, Netanyahu spent the week working on his own flank. He and Religious Zionism chairman Bezalel Smotrich met Rabbi Eli Sadan, spiritual mentor of People of Israel chairman Ofer Winter, to press Winter to quit. Winter's party disclosed the meeting and he refused: "Guys, get it through your heads. The people of Israel want a different kind of politics." Netanyahu separately phoned Moti Leitner, per Channel 12, to get his Charedi Public party out; Leitner also refused. Both sit near the 3.25% threshold, so their votes are wasted votes. Neither Likud nor the prime minister's office has responded. On Wednesday a new poll put Winter below the threshold and the pro-Netanyahu bloc on 49 seats.

WHAT IT MEANS

This is threshold arithmetic, not persuasion: a right-wing list that falls short takes its votes out of the bloc entirely, and 49 is twelve short of a majority. Running underneath it, Channel 12 reported last week that Netanyahu aide Jonatan Urich admitted taking "hundreds of thousands of shekels" from Qatar — single-outlet, from interrogation transcripts, and Urich denies working for Qatar after 7 October.

WATCH NEXT

Whether Winter or Leitner withdraws, and the final polls before the 27 October vote.

Albania’s student revolt is into its ninth day and the prime minister is calling it a hybrid war

WHAT HAPPENED

Protests that began on 13 October ran to an eighth straight day on Tuesday, with Edi Rama alternating between offers of talks and accusations of foreign manipulation. Officials set out chairs labelled “dialogue” outside the prime minister’s office; protesters threw them aside and resumed calling for his resignation, after Rama posted a video captioned “Dialogue. But with whom?” A day earlier he had said “there will be no negotiations with anyone holding this,” and he now calls the unrest “a hybrid war that gains traction precisely because it is rooted in genuine grievances, not mere fantasy.” Albanian police put arrests at 167 as of 17 October; the health ministry counted 272 injured in Tirana over five days, 169 of them police. Nobody has substantiated the foreign-hand claim.

WHAT IT MEANS

An EU candidate government eight days into street confrontation, blaming outside forces its own analysts cannot find, is the shape of the French autumn: a leaderless movement with nobody for the state to negotiate with. Rama’s problem is that the grievance is real and he has just conceded as much.

WATCH NEXT

Whether the lecturers’ unions accept talks, and France’s own “acte II” on Saturday 24 October for the comparison.

SOURCES

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govinfo — the signed DeepSeek order as published (PDF)

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StockAnalysis — 3M (MMM) price history

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Salesforce — definitive agreement to acquire Braze

AP, via KRMG — how major US stock indexes fared, Tuesday 20 October

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FinSMEs — AuxoAI raises $20.7m Series A

FinSMEs — Firefly raises $20m Series A

Axios — Republicans see shrinking boost from redistricting

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Axios — where midterms early voting is surging

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